CPA AUSTRALIA ASIA-PACIFIC SMALL BUSINESS SURVEY 2025-2026

India market summary

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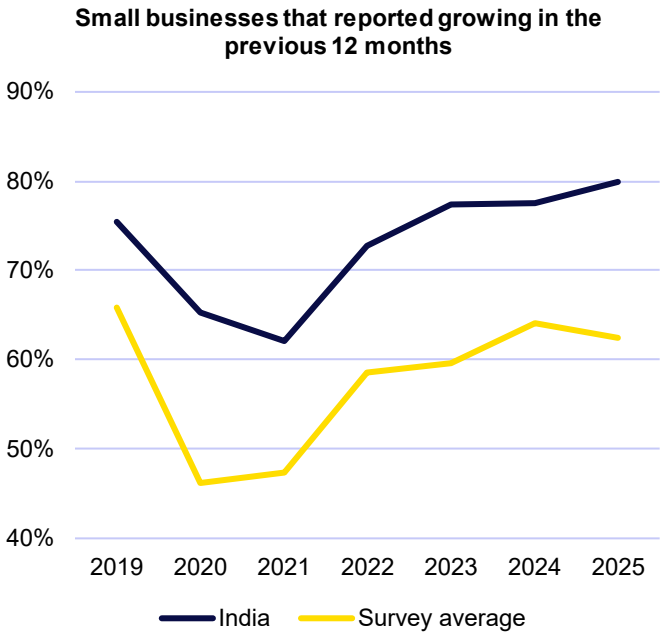
India

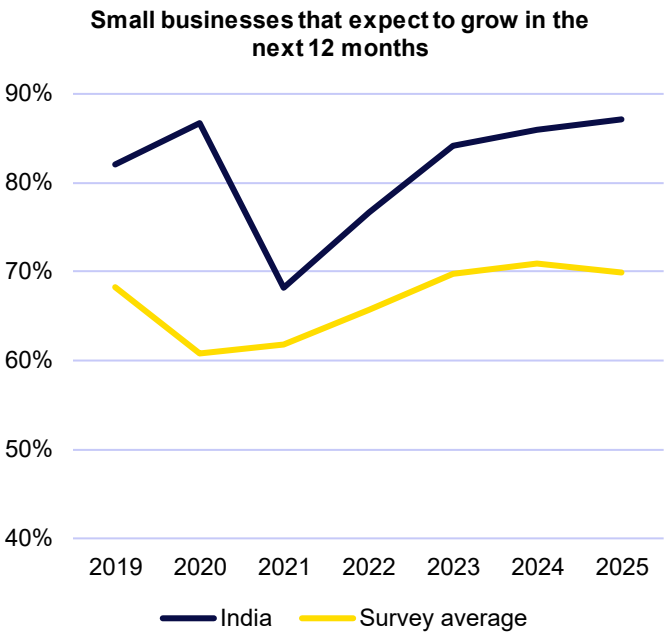
Key findings

- India's small business conditions remain strong. In 2025, the share of growing small businesses reached its highest level since 2019, with Indian firms ranking as the third most optimistic among surveyed markets
- Indian small businesses are the second most confident in their national economy, with expectations for both economic growth and their own growth prospects in 2026 remaining well above the survey average
- India's small businesses continue to rank highly on technological indicators, excelling in e-commerce and digital payment technologies
- Cyber risks remain a major challenge, with nearly half of India's small businesses reporting losing time or money to cyberattacks in 2025, the third highest result among surveyed markets
- Nearly 60 per cent of India's small businesses recently reviewed their cybersecurity protections, suggesting heightened awareness and proactive management of cyber risks
- Reflecting strong business confidence, India ranks among the top markets for job creation, with hiring intentions expected to remain robust in 2026.
- India's small businesses are most likely to focus on improving customer satisfaction and business strategy, both of which are key characteristics of high growth businesses
- India's small businesses are the second most likely to innovate, with 44 per cent saying they will innovate in 2026
- Demand for external finance increased in 2025, with funding primarily sought to support business growth
- India's small businesses have the strongest export sales growth outlook for 2026
- AI tools have emerged as a leading source of advice for India's small businesses, highlighting a growing reliance on digital solutions
- India has one of the youngest small business owner profiles, with over half of owners aged under 40

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Business and economic conditions





	India 2025	Survey average 2025	Rank 2025	India 2024	Rank 2024	India 2023	India 2022	India 2021	India 2020
Businesses that grew in the last 12 months	79.9%	62.5%	3/11	77.5%	3/11	77.4%	72.7%	62.1%	65.2%
Businesses that expect to grow in the next 12 months	87.1%	69.9%	3/11	86.0%	4/11	84.2%	76.6%	68.2%	86.7%
Businesses that expect the local economy to grow in the next 12 months	84.0%	64.6%	2/11	79.9%	3/11	80.4%	76.3%	67.4%	79.9%

2025 was another successful year for India's small businesses, with 80 per cent reporting growth, including 31 per cent experiencing very strong growth. This result marked India's strongest growth result since 2019.

Looking ahead, this positive momentum is forecast to continue. Strong small business confidence in India's economy is expected to support small business growth, with 87 per cent of India's small businesses expecting to grow in 2026, compared to the survey average of 70 per cent.

This positive outlook is underpinned by several structural factors, including a strong focus of India's small businesses on technology, e-commerce, innovation, exporting, and improved customer satisfaction. Our survey results consistently show that these characteristics are strongly associated with high growth businesses, and resilience to crisis and downturns.

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Supported by a robust domestic economy and a clear emphasis on key growth drivers, some of India's small businesses are well-positioned to grow into large, successful global enterprises in the coming years.

A further key contributor to the success of India's small businesses is the youthful profile of its small business owners. According to the survey, 56 per cent of India's small business owners were aged under 40, above the survey average of 38 per cent. Our survey data shows younger business owners are more likely to run growing businesses, leverage technology like e-commerce and social media, innovate and expand into new markets.

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Technology use

	India 2025	Survey average 2025	Rank 2025	India 2024	Rank 2024	India 2023	India 2022	India 2021	India 2020
More than 10 per cent of revenue came from online sales	73.9%	63.4%	3/11	62.3%	8/11	61.6%	84.3%	82.5%	75.6%
Did not use social media for business purposes	9.9%	12.0%	7/11	14.4%	4/11	17.6%	11.6%	11.4%	14.5%
Investment in technology by the business over the past 12 months has improved profitability	68.4%	56.3%	3/11	65.7%	5/11	65.0%	82.7%	79.6%	75.8%
Technology the business invested in most heavily over the past 12 months	Artificial intelligence	Artificial intelligence	NA	Computer equipment	N/A	Computer equipment	Business intelligence and analytical software	Business intelligence and analytical software	Customer Relationship Management software
Consider the business likely to be cyberattacked in next 12 months	50.1%	42.3%	4/11	39.1%	6/11	46.5%	81.6%	77.9%	68.2%
Reviewed the business' cybersecurity protections in past six months	58.5%	52.0%	3/11	47.5%	7/11	43.0%	36.9%	51.0%	51.0%
Lost time and/or money due to a cybersecurity incident in the past 12 months	46.8%	36.7%	3/11	43.4%	6/11	47.7%	N/A	N/A	N/A
More than 10 per cent of sales is received through digital payment options such as Paytm	88.6%	71.8%	1/11	82.9%	3/11	76.9%	89.9%	85.2%	82.7%
Sought advice from IT consultants/ specialists	39.2%	26.6%	2/11	28.0%	3/11	29.5%	42.4%	48.6%	39.3%

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A key driver of the success of India's small businesses is their widespread adoption of technology, including selling online and access to expert IT advice

In 2025, the share of Indian small businesses generating more than 10 per cent of their revenue from online sales increased from 63 per cent in 2024 to 74 per cent, lifting India's ranking up from 8th to third.

Consistent with this, digital payment usage remains very high. In 2025, 89 per cent of Indian small businesses reported receiving more than 10 per cent of their sales through digital payment platforms such as Paytm, Google Pay and Apple Pay. This is well above the survey average of 72 per cent and the highest result across the surveyed markets.

Social media also remains a key business tool, with only 10 per cent of India's small businesses reporting they did *not* use it in 2025, reflecting its importance for customer engagement and marketing.

A key reason for the high level of technology adoption is that technology investment is delivering strong returns. In 2025, 68 per cent of businesses reported that their technology investment improved profitability, well above the survey average of 56 per cent.

Indian small businesses are most likely to report investing heavily in artificial intelligence, with 36 per cent identifying it as their largest technology investment in 2025, up from 26 per cent in 2024.

Cyber risk exposure remains high amongst India's small businesses. In 2025, 47 per cent of businesses reported losing time and/or money due to a cybersecurity incident. Encouragingly, most of Indian small businesses are actively managing this risk, with 58 per cent having reviewed their cybersecurity protections in the past six months.

In 2025, 39 per cent of Indian small businesses sought advice from IT specialists or consultants in 2025. This continues an upward trend from 28 per cent in 2024.

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Business activity over the past 12 months

	India 2025	Survey average 2025	Rank 2025	India 2024	Rank 2024	India 2023	India 2022	India 2021	India 2020
Increased employee numbers	52.2%	36.2%	2/11	45.6%	1/11	52.1%	80.0%	77.0%	56.4%
Improved customer satisfaction had a major positive impact on the business	42.3%	31.2%	2/11	34.9%	4/11	37.6%	35.7%	38.7%	35.0%
Improved business management had a major positive impact on the business	37.2%	24.6%	2/11	27.0%	5/11	32.5%	32.1%	29.5%	28.5%
Increasing costs had a major negative impact on the business	41.9%	38.8%	5/11	40.4%	5/11	44.0%	33.7%	39.4%	32.2%
Required funds from an external source	80.3%	61.3%	2/11	71.8%	5/11	67.7%	88.4%	87.8%	79.7%
Sought external funds for business growth	69.4%	56.1%	2/11	61.8%	3/11	67.0%	65.5%	70.5%	58.3%
Sought external funds for business survival	35.4%	39.0%	6/11	32.4%	6/11	41.5%	58.5%	65.7%	46.6%
Found it easy or very easy to access external finance	52.9%	53.1%	6/11	42.9%	4/11	41.5%	68.1%	72.9%	52.5%
A bank was the business' main source of external finance	39.8%	45.4%	9/11	37.9%	7/11	39.8%	62.3%	16.5%	11.3%
Did not spend any time and resources on activities linked to ESG	10.9%	18.8%	9/11	12.8%	7/11	11.5%	7.1%	N/A	N/A

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Planned business activity over the next 12 months

	India 2026	Survey average 2026	Rank 2026	India 2025	Rank 2025	India 2024	India 2023	India 2022	India 2021
Expect to increase employee numbers	68.8%	47.0%	1/11	63.7%	2/11	66.7%	85.2%	83.2%	70.9%
Will introduce a new product, service or process unique to their market or the world	43.5%	29.2%	2/11	36.7%	3/11	44.2%	79.3%	53.0%	53.3%
Expect revenue from overseas markets to grow strongly	41.3%	20.6%	1/11	35.5%	1/11	33.9%	50.8%	44.6%	44.9%
Will seek external funds	35.9%	25.4%	3/11	35.7%	2/11	36.6%	75.8%	49.9%	50.0%
Expect easy to very easy access to finance	53.4%	48.9%	6/11	38.8%	3/11	42.2%	63.6%	69.2%	48.8%

Innovation

Innovation remain a priority for many India's small businesses. In 2026, 43 per cent said they will introduce a new product, process or service to India or the world in 2026, exceeding the survey average. and an improvement from 37 per cent in 2025.

Employment

India's strong small business sentiment is reflected in the large number of businesses adding to their employee numbers. In 2025, more than half reported increasing their headcount. Hiring intentions for 2026 remain strong, with 69 per cent expecting to expand their employee numbers, far above the survey average and the highest result among the surveyed markets.

Access to finance

Demand for external remain strong. In 2025, 80 per cent of India's small businesses required funding from external sources, the second highest share among surveyed markets. A large majority (70 per cent) sought external funds to support business growth.

Most businesses that required finance found access easy. In 2025, 53 per cent found it "easy" or "very easy" to access external finance, compared to 42 per cent in 2024.

Exports

Confidence among India's small business exporters remains high, despite the negative impacts of tariffs and trade restrictions. In 2026, 41 per cent expect a strong increase in their export revenue, placing India first among surveyed markets.

Environmental, social, and governance (ESG)

ESG-related activities remain a strong focus for India's small businesses. In 2025, only 11 per cent did *not* spend any time or resources on activities linked to ESG. The most common ESG activities were implementing business diversity and inclusion policies, supply chain sustainability and staff health and safety policies.

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Factors that had positive and negative influences on business & Sources of advice

Top four factors that had a positive influence on Indian small business in 2025	Top four factors that had a positive influence Indian on small business in 2024	Top four factors that had a positive influence on Indian small business in 2023	Top 4 source of advice for small business in 2025
Customer loyalty Improved customer satisfaction ^	Good staff	Good staff	AI tools
Technology Improved business strategy ^	Customer loyalty	Customer loyalty	IT consultants/specialists
Good staff	Technology	Technology	Friends and family
Improved business management	Improved business strategy	Improved business strategy	Business partner or mentor

Top four factors that had a negative impact on Indian small business in 2025	Top four factors that had a negative impact on Indian small business in 2024	Top four factors that had a negative impact on Indian small business in 2023
Increasing costs	Increasing costs	Increasing costs
Increasing competition	Increasing competition	Increasing competition
Cash flow difficulties	Increasing rent	Cash flow difficulties
Increasing rent	Rising interest rates	Rising interest rates

^ equal rank

In 2025, India's small businesses found that improvements to customer satisfaction and business strategy as having the most positive impact on business performance. These strategies are consistently associated with high-growth businesses across the survey.

By contrast, rising costs were the most significant negative factor, followed by increasing competition. The most burdensome costs were material costs, staff costs, rent and taxes.

Sources of business advice reflect a strong orientation toward technology and informal networks. This mix underscores the growing role of technology-enabled advice alongside personal networks in supporting decision-making. It may however leave small businesses vulnerable given the importance of professional, independent advice to business resilience and growth.

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Entrepreneurship

	India 2025	India 2024
Primary reason for starting their business	Be your own boss / independence	Be your own boss / independence
Biggest concern when first started a business	Finding and keeping customers	Irregular income/cashflow Finding good business partners or collaborators^
Most common attitude and approach to managing business risk of owner	Solo risk taker	Risk taker
Overall satisfaction from owning or operating small business	Satisfied	Satisfied
Most popular exit/succession plan for small businesses	Don't have a succession/exit plan	N/A

^equal rank

When starting their businesses, Indian small business owners are, like their counterparts in most other surveyed markets, primarily motivated by the desire to be their own boss. Their biggest concern when starting out was finding and keeping customers.

In 2025, Indian business owners were most likely to characterise themselves as "solo risk takers", compared with "risk takers" in 2024. This suggests an increased tendency to rely on personal judgement, intuition and individual decision-making.

Demographics

	India 2025	Survey average 2025	Rank 2025	India 2024	Rank 2024	India 2023	India 2022	India 2021	India 2020
Business owners aged under 40	55.8%	38.0%	2/11	60.2%	4/11	50.8%	43.3%	30.2%	63.4%
Business established for less than 11 years	67.3%	57.8%	5/11	74.0%	5/11	64.0%	35.1%	58.1%	70.3%
Respondent is the business owner	44.6%	40.2%	6/11	49.9%	5/11	47.3%	31.4%	18.9%	50.8%
Business has 10 to 19 employees	27.9%	30.8%	7/11	42.8%	2/11	39.6%	58.3%	38.9%	53.3%

India has a young age profile among its small business owner, with 56 per cent of owners aged below 40. Our survey results consistently show a strong correlation between businesses run by owners in this age group and higher levels of growth, digital adoption, innovation and overseas market exposure.

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CPA Australia's observations

India's small business sector continues to outperform most regional peers and remains a significant contributor to growth, employment and innovation. Survey results point to strong momentum, high confidence and ambitious expansion plans, suggesting that small businesses are benefiting from a combination of favourable demographics and strong domestic economic growth.

A youthful ownership and leadership profile is a key structural advantage. India has one of the highest shares of small business owners and leaders under 40 among surveyed markets, and survey evidence links younger ownership with stronger growth, technology adoption, innovation and exporting.

Sustained investment in digital public infrastructure, including platforms such as India Stack and UPI, as well as initiatives supporting MSME digitalisation and online market access, including the Open Network for Digital Commerce, is helping drive technology adoption across the sector. The high share of firms reporting profitability gains from technology investment indicates that digital adoption is translating into rapid improvements in business performance.

Fuel shortages, rising prices and/or weaker global demand could however weigh on growth by affecting profitability and economic confidence.

Access to finance remains supportive and heavily used to fund growth. As reliance on external finance remains high, directing credit toward productivity-enhancing investment while managing risks will be important.

Overall, India's small business sector is well positioned relative to regional peers. The key policy challenge is to preserve this advantage as external risks increase, by reinforcing productivity, resilience and market diversification.

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